

You might think that's obvious because of the saying, “trade with the trend.” However, reversals outperform continuations after upward breakouts and continuations beat reversals after downward breakouts (for all chart pattern types).

Average rise or decline. The best performance comes from wedges that follow the market trend—upward breakouts in bull markets and downward breakouts in bear markets. Stick with those directions for trading and avoid the countertrend wedges, the ones that break out against the market trend. That's good advice for any chart pattern type.

Standard & Poor's 500 change. The index climbed or dropped the most in step with wedges that climbed or dropped the most. The best results occur in the trend-following columns, and the worst results in the countertrend columns.

Days to ultimate high or low. Downward breakouts see price bottom in about a month. Upward breakouts take considerably longer, about 8.5 months.

Here's one of the few joys I get from writing this book and that is to check the velocity of up and down breakouts. I compared the bull market numbers and found that downward breakouts see price drop twice as fast as it rises. Comparing downward breakouts in bull and bear markets, we see that bear markets see price drop 50% faster than bull markets. Way cool.

How many change trend? This is a measure of how many wedges see price move more than 20% after the breakout. I like to see bull market, upward breakout values over 50%, and the rising wedge qualifies. Downward breakout performance places dead last. It suggests you'll want to avoid shorting a wedge having a downward breakout (or avoid selling a long holding). Of course, your results may vary.

[Table 74.3](#) shows failure rates for rising wedges, and it's not a pretty sight. You might want to avert your eyes.

Wedges in bull markets with upward breakouts have the lowest failure rates. That finding may sound odd because rising wedges are supposed to break out downward and, presumably, that is the direction of best performance. But that's not what we see.